

PRD: Budgets

Executive Summary

This document outlines the strategic need for an expense account, and the importance of scaling it into sub-accounts or wallets that allow members to set specific spend budgets. It will walk through the key problems that need to be addressed to enable this functionality but also to bring us in line with some key competitors in the market.

Problem Statement

There are two key problems to solve:

1. Balance Visibility & Control

Currently, expense card holders can view the main account balance—often the Director's account—which can create confusion and expose sensitive financial information. Introducing a dedicated **expense account** (as an e-money wallet) would allow funds to be ring-fenced and enable tighter control over what team members can see and access.

2. Lack of Budgeting Tools ("Spend Pots")

At present, there is no functionality that allows members to create **spend pots** or **programmed budgets**—a feature that is both highly demanded and standard in the market.

To address this, we need to solve:

- What the entry points are for creating a budget vs. issuing a card
- When and how to prompt users to fund a spend pot
- How to seamlessly connect budget creation and card issuance in a unified user journey

Jobs to be done:

Key JTBD by business owner for efficient expense management:

Segregating Funds for Various Expenses

👉 As a business owner, I want to set aside funds from my main account into a dedicated pool for specific business expenses like marketing, employee travel, etc., so that employees can access funds for approved business purposes without having access to the main business account.

Issuing & Controlling Employee Cards

👉 When allocating expense fund to my employees, I want to issue cards linked to an expense account with customizable spending limits and merchant category (MCC) controls, so that I can ensure spending stays within approved limits and for intended use case.

Prototypes

- Mobile View - [copycat-sme-buddy](#)
- [Corporate Expense Manager](#)
- [clean-expense-compass](#)

See PRD attached

How competitors are solving this problem?

Monzo

- Uses "Pots" (virtual sub-accounts) to allocate funds for specific expenses.
- Expense cards are linked to Pots, ensuring controlled spending.
- Provides real-time tracking, budgeting tools, and accounting integrations.

Starling Bank

- Uses "Spaces" (virtual sub-accounts) to allocate business funds.
- Businesses can issue "Connected Cards" linked to Spaces for employees.
- Provides real-time transaction visibility, spending categorization, and accounting integrations.

Revolut

- Use "Spend Programs" to allocate business funds
- Business can then 'assign' cards to these spend programs
- Provides real time tracking, but also limits to spend programs plus to expense cards.

Pleo

- Uses a wallet-based system where businesses pre-fund a central account.
- Departmental budgets and user-level spending limits are managed virtually within the wallet, not through separate accounts. All spending is processed from the same central wallet
- Offers Business Expense cards with real-time spend tracking, card management and custom spend control

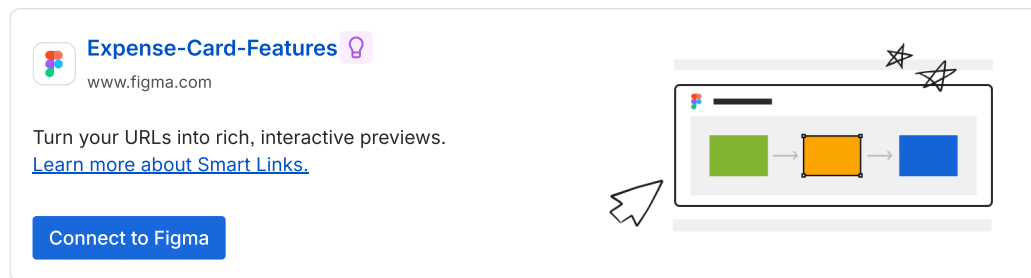
Key Insights for Tide

- Competitors do not issue expense cards directly linked to the main business account. Instead, they use virtual accounts (Pots, Spaces, or sub-accounts) for controlled expense management.
- This setup ensures better budget tracking, fund security, and compliance while simplifying reconciliation.

Additional Competitor analysis: [Competitor Use of Virtual Accounts](#)

Thoughts behind Budgets

Updated Figma:



Phase 1 Scope:

- Eligibility: Members having Tide BCAs will only be eligible to create expense account
- Member should be able to create Expense account
- Member should only be able to transfer fund from BCA to Expense account & vice versa
- Member should be able to issue cards linked to Expense account
- Member/employees can only make purchases using their assigned card from an Expense account
- Members should be able to view statement, balance and transaction history of the card.
- Additionally, they should have the ability to categorize or enrich transactions with relevant details sync transaction with accounting tool

Success Metrics:

- 30% of active Tide expense card holders adopt Expense Accounts within 3 months
- Avg. 2 cards issued per new Expense Account
- 80% of Expense Account holders transfer funds more than once

Phase 2:

- Member should be able to set up spend specific Expense Budgets
- Member should be able to issue cards to these spend specific budgets
- Virtual Cards - can have given colours, namings associated with these spend specific budgets
- Directors can have an overview of all budgets and spend
- Directors can limit budgets to certain dates, amounts, categories

Success Metrics:

- 25% of Expense Account users create >1 budget in first 90 days
- 25% of Expense Accounts have limits set within the first 90 days
- 90% of budgets used have >1 transaction in the first 2 weeks
- 40% of directors use the "budget insights dashboard" weekly

Phase 3:

- Member can link recurring payments to Expense budgets for subscriptions
- Member can link Bills to their Expense Budgets
- Members can give certain roles control of budgets for teams
- Members can fund from OA
- CashFlow projections enable auto generation of smart budgets

Success Metrics:

- 50% of budgets with recurring payments assigned within 30 days
- 25% of BillPay usage originates from Expense Accounts
- 30% of companies with >3 team members assign a budget role

Feature	Budget Account / Card	Benefit Account / Card
Allocation of Funds (timing and amount)	• Dynamic on both Amt + Timing - Created as needed • Short lived (for the purpose)	• Fixed Amt at Fixed Time - as subscribed by the CardHolder • Long lived (fixed purpose - lives for at-least an year, untill payroll/employment changes)
Pullback / Clawback of Fund	Allowed	• Not Allowed • Funds can't be moved into other BCA, PPI - have to be used only for the purpose they were allocated
Co - existence	Multiple Budget Acc with different purposes can co-exist under a parent (safe guarding) account	• Single Benefit Account for all purposes of benefits : [Food , Fuel , Telcomm] • Each benefit listed as separate virtual account

New Creations under a Business	Allowed	Not Allowed - Creation can happen only once during Onboarding
Removal	After/Before purpose is met Pullback of fund - Yes Allowed	• No Pullback allowed, No removal allowed until Payroll change • Even on employment changes Funds/Accounts/Cards do remain with spending member.
Adjustment	• Purpose for existence of Budget Account should Not change • Cardholders can leverage dynamic nature of Budget Acc/Card and request separate budget account • MCC code attached not to be changed	• No change allowed • Some adjustment on annual basis allowed (Payroll changes) • MCC code list is even more stricter on these. No change allowed once set for whole of the market (IN,DE,FRA)
Card Type	• Virtual Card only	• Physical + Virtual both
Kyc	• Full for Directors • KYXb for Members (cardholders) - can be any role other than 'Admin'	• Employer : Full as per Structure Partner (not on Tide platform) • Employee : MIN to FULL possible
Parent Entity / Relationship	• Director / Admin's Business • As its a single business holding all entities - no relationship is required	• SP Admin / Employer / Corporation have thier own Business • CardHolder / Employee have their separate Business • Relationship is needed b/w the Businesses of Employer - Employee
Fund holding Entity	• Director's / Admin's Primary (BCA or PPI) • Shared across all Budget Account	• Separate BCA / PPI for Director / SP - Admin • Separate BCA / PPI of each CardHolder
Number of Cards per	More than 1, Upto 5 virtual cards possible	• Exactly 1

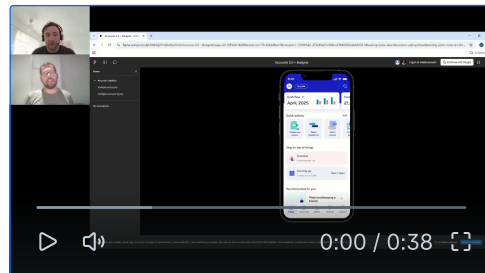
Account		
Usage	Multiple users with 1 virtual card each, drawing from same Budget	Single Spending user allowed per Acc
ATM Withdrawal	Not Allowed	Not Allowed
Ability to see Balance	Not Allowed for Primary or Parent account for Budget	Allowed, Must have
Timeline	Separate per Budget Account	Separate BCA / PPI of each CardHolder
Statements	Separate per Budget Account	Separate BCA / PPI of each CardHolder
Billing / Txn Review(approval)	Allowed / Applicable	Not required / applicable

User Interviews

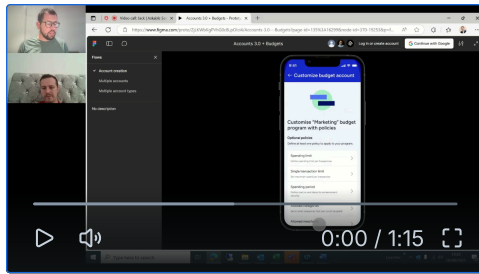
Clips:



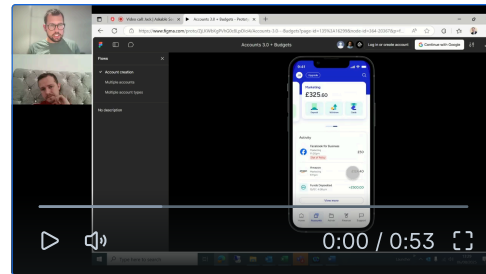
Daniel about how line managers follows the policies between their employees and the company requirements.



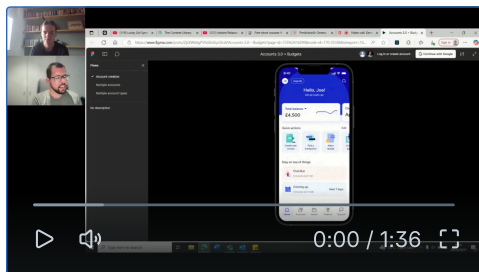
Daniel about how SAP Concur offers credit line so they pay an invoice after the month calendar instead of having an active balance.



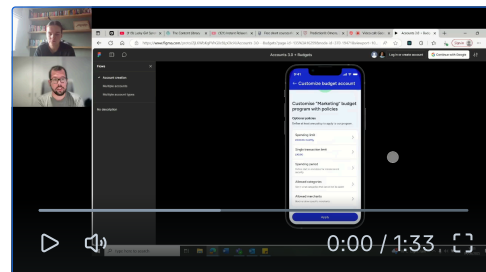
Jack about how a transaction should be rejected in real-time if above the limit.



Jack reacts to how a Out of Policy transaction should not allow to happen.



Giorgia about how may be difficult to find and define spend management limits.



Giorgia about categories and policies blocking it, some with flexibility, some without it.

Previous Product Spec:

Wallet (could also be called Budget/pot)- a predefined amount of expense spend on a virtual card which can be linked to:

- A specific person
- A specific spend category - with multiple people

Examples:

- *Hannah has a wallet for £1000 of spend for March.*
- *Hannah's company has a Marketing wallet of £2000 with users Mark, Peter & Cassie associated each with a virtual card*

To start with the budgets will be funded by the BCA or through Open Banking and the virtual card being issued is triggered by the linkage to a wallet.

For this additional nice to have features:

- Business owner is able to bulk add/import team members and they go through KYCb checks

- Team members will be able to login, have their own web or app access and be able to do the relevant KYCb checks and manage their assigned card

Confidential - do not distribute

Insights on expenses

 Participants use a **mix of accounting software and manual methods like spreadsheets or OneDrive to keep track of business expenses** (5/5)

- *Business expenses are recorded in FreeAgent, going through things and checking what's been bought. It's a pain in the arse. Team members put receipts into OneDrive, and I have to go into there and get them. I don't have time to do this during the day.- Andy, IT*
- *I keep track of my expenses using a spreadsheet. I also store all my receipts and try to update everything at least once a week. - Lynne, Health services*

 **HMW** help SMBs with better ways to track upcoming tax payments and recurring expenses over time?

 Many participants find **expense tracking frustrating and time-consuming**, with issues like manual data entry, receipt management, and lack of visibility into biggest expenses (3/5)

Participants **struggle with forecasting large expenses** and ensuring enough cash flow for tax payments and recurring costs

- *Monitoring multiple software subscriptions and deciding if they're all necessary takes too much effort. If I could go, 'Lads, we're spending £10,000 a year on subscriptions. We need to halve this,' then it could group everything for me and say, 'Right, we can cut out this,- Rich, Advertising*

